Money Market Deposit Accounts

Money market deposit accounts, offered by most banks, are also FDIC-insured. They usually require a minimum balance of $1,000 or more, but they pay slightly higher interest rates than traditional savings accounts.

Certificates of Deposit

CDs are actually loans you make to the bank for an agreed-upon term in return for a guaranteed interest rate on your principal. Some have adjustable rates tied to an index such as Standard & Poor’s 500 stock index. Most banks charge a penalty if you withdraw all or part of your CD funds before the maturity date.

Like other bank accounts, CDs carry insurance up to $100,000 as long as the bank is FDIC-insured. The $100,000 refers to the total of your accounts with that particular bank, so if you have more than $100,000 in one bank, you’re not fully protected. CD terms range from one month to five years or more. The longer the term, the higher the interest rate and the greater the risk that your money will be locked up at a lower rate when interest rates rise.

ALERT

Be especially careful when investing in broker-issued CDs. These guarantee the return of your principal at maturity, but maturity may be twenty years from the purchase date. If you cash the CD in before the maturity date, you may lose not only interest, but a large chunk of your principal as well.

Banks and brokers also offer callable CDs with rates that may seem too good to pass up, but be sure to read the fine print and ask plenty of questions before investing in a callable CD. Be sure you know the difference between the maturity date and the callable date. Usually the issuer has the right to call the CD at any time after one year, but this doesn’t mean it matures in one year. It may be a twenty-year CD, which means you